

- *A whole range of mini-Berkshire insurance companies.* Markel (MKL), White Mountains (WTM) and Fairfax Financial Holdings (FFH on the Toronto Exchange). You probably know these. All follow the same kind of model. They have insurance companies. And they creatively invest the funds to create superior returns over time. It's always an interesting set of names. I watch 'em all. When the market takes another dive, pay attention — that may be the only time you can get any of these on the cheap.
- *Leucadia National (LUK).* As a side note, Thorndike wanted to include Ian Cumming and Joseph Steinberg in the book. The duo headed up Leucadia National, which was a 250-bagger. But the reclusive duo wouldn't cooperate with the author. So Thorndike made the call not to include them, because he thought it was important to meet with every living CEO. He wrote the chapter but didn't publish it.
Today, Leucadia is a different bug entirely. There was a big merger with Jefferies, the investment bank. Cumming retired. Steinberg remains as chairman. But Rich Handler, top dog at Jefferies, is now also at the helm of Leucadia. Jefferies is a big part of LUK.
Basically, don't own LUK unless you like Jefferies. Perhaps the culture of the old Leucadia will carry on. I have my doubts.
- *AutoZone (AZO).* I wrote about AutoZone earlier. It has a great incentive plan. All the incentive metrics — return on capital, earnings per share and total shareholder return — are perfectly aligned with shareholders' interests. No surprise, then, that the CEO is a fan of stock repurchases. AutoZone's share count has declined 75 percent over the past 13 years or so. The compound annual return for shareholders is 21 percent, versus just 3 percent for the market as a whole. (This example runs counter to Donville's objections to IBM and buybacks. We will look at buybacks in more detail in chapter 11.)

Lastly, Thorndike mentioned one that rang a bell, but I couldn't place it at first: